
PAPERBOY

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Three Fed officials voted to raise rates in July — the minutes released Wednesday show the hawks are not a fringe.

AI

OpenAI offers to stop keeping your data — and points at Anthropic

WHAT HAPPENED

OpenAI previewed [Private Safety Processing](#), a setup that lets enterprise and API customers run its frontier models without OpenAI retaining prompts or responses. Only “narrowly defined safety signals” come back; content stays on customer infrastructure or under customer-held keys. A wider rollout and a white paper are due in September. The contrast is the point: Anthropic requires 30-day retention for business customers, calling it “essential to detect and prevent sophisticated attacks that span multiple requests.” OpenAI’s head of product policy, Aleah Houze, framed the disagreement as being about time windows — risks emerge “not just by looking at one single prompt and response pair, but when you look over time at multiple interactions.”

WHAT IT MEANS

A commercial move wearing safety clothes. Retention is the loudest objection from regulated buyers — banks, hospitals, defence contractors — and OpenAI has just removed it, leaving Anthropic to defend logging on principle. Note the exclusion: free and subscription ChatGPT users get none of this. The consumer product remains the monitoring corpus.

WATCH NEXT

The September white paper, and whether Anthropic moves its 30-day floor. [TechCrunch](#) corroborates.

Cognition's CEO says the SpaceX approach never happened

WHAT HAPPENED

Bloomberg reported that SpaceX approached AI coding startup Cognition about an acquisition. Cognition CEO Scott Wu [called the story “inaccurate”](#) on X, said the company “is not for sale” and denied the two sides negotiated. Bloomberg’s version already said talks were no longer active, while leaving open that Cognition might use SpaceX compute. For scale: Cognition raised \$1bn in late May at \$25bn post-money and is reported to be in early talks at \$40bn; SpaceX closed its \$60bn purchase of Cursor last week. *Contested — one outlet says an approach happened, the founder says it did not.*

WHAT IT MEANS

Real or not, the shape is: SpaceX, on a roughly \$2.3tn market cap since its June listing, is buying into the coding-agent layer rather than building it. Cursor gave it the editor; Cognition would have given it the autonomous engineer. The remaining independents just got repriced.

WATCH NEXT

Whether a compute deal surfaces instead. A supply agreement would be the tell that the acquisition talk was real.

Google puts Gemini in the homework

WHAT HAPPENED

Google [shipped a set of student features](#) across Search and Gemini on 19 August: AI-generated interactive visuals and 3D simulations you can rotate and zoom, customised practice quizzes across science, maths, humanities and languages, and study material generated from uploaded PDFs, slides and photos. Gemini Live gains multi-step research reports with conversational follow-up, and a dedicated learning hub pulls together notebooks, flashcards and quizzes. Interactive learning through Lens arrives “in the coming weeks.” No pricing was given.

WHAT IT MEANS

Students are the cheapest habit a model company can buy, and the stickiest. Google is spending distribution it already owns to make Gemini the default study tool before term starts. The free-at-point-of-use framing matters more than the feature list.

WATCH NEXT

Pricing, and whether US school districts formally sanction it — the procurement fight is where this is actually decided.

Marvell hands Google a \$12bn warrant to build its TPUs

WHAT HAPPENED

Marvell [disclosed in an 8-K](#) a commercial agreement with Google LLC, dated 29 July 2026, to develop custom silicon for Google's TPU ecosystem — and a warrant, issued 18 August, for 58,970,907 Marvell shares at \$206.58, expiring in 2033. That is roughly \$12.2bn at the strike price. Vesting is almost entirely performance-based: 1,360,867 shares vest quarterly over the first year, and the rest across 240 equal tranches, one for every \$500m of Custom Products revenue Google generates. Multiply it out and full vesting implies about \$120bn of cumulative revenue — *that figure is arithmetic, not a Marvell forecast; it appears nowhere in the filing*. Raymond James kept Strong Buy, noting Google “had not been incorporated into the firm's assumptions prior to this deal.”

WHAT IT MEANS

Google is paying in its counterparty's equity rather than cash, and only if the revenue arrives — the structure Nvidia and OpenAI have been using all year, now standard. For Marvell it converts a customer concentration risk into an aligned one. For everyone else it is confirmation that hyperscaler custom silicon is no longer a hedge against Nvidia but a second supply chain being built in earnest.

WATCH NEXT

Marvell's Q2 FY2027 results, and the first quarterly disclosure of Custom Products revenue — that line is now the vesting clock.

SK Hynix answers a 10% slide with the biggest buyback Korea has seen

WHAT HAPPENED

After the stock fell 9.8% in a day, SK Hynix [announced a 40 trillion won repurchase and cancellation](#) — about 24.07 million shares, roughly 3.3% of its 730,492,365 issued shares, running 20 August to 19 November. The company calls it the largest treasury-share cancellation ever conducted by a South Korean listed company. It also lifted its shareholder-return commitment from “within 50%” to “over 50%” of cumulative free cash flow for 2025–27, and says roughly 69tn won of net cash lets it do this and keep expanding capacity. Shares rebounded around 8%. *The \$28.6bn conversion is press arithmetic, not a company figure.*

WHAT IT MEANS

The slide was not about SK Hynix. It was investors testing whether AI capex is durable, and memory is the most cyclical way to express that doubt. Buying back 3.3% of the company is management betting real money that the doubt is wrong — the most expensive form of guidance there is.

WATCH NEXT

Q3 results, where the company hinted at further returns, and whether Samsung answers with its own programme.

Three Fed officials wanted a rate rise in July

WHAT HAPPENED

The [minutes of the 28-29 July FOMC meeting](#), published Wednesday, record a 9-3 vote to hold the target range at 3.50-3.75%. Beth Hammack, Neel Kashkari and Lorie Logan all “preferred to raise the target range for the federal funds rate by 1/4 percentage point.” The minutes go further than the dissent count: “Several participants favored an increase of 25 basis points in the target range at this meeting,” and hawks argued “price pressures appeared broad based.” Total PCE inflation ran 4.1% in May and an estimated 3.7% in June; core 3.4%, then 3.3%. Unemployment was 4.2%.

WHAT IT MEANS

“Several” is Fed dialect for more than three. The hike camp is larger than the vote showed, so the next meeting is genuinely two-sided rather than a debate about the size of a cut. With headline PCE near 4% and the labour market not cracking, the burden of proof has flipped: the committee needs a reason *not* to tighten.

WATCH NEXT

Jackson Hole this week and the September FOMC. Note: the Labor Department’s claims page was still serving the 13 August report at the time of writing, so this week’s jobless number is unconfirmed.

Target’s quarter is real — and a \$994m tariff refund made it look better

WHAT HAPPENED

Target reported [net sales of \\$26.5bn, up 5.3%](#), with comparable sales up 3.8% — stores up 2.7%, digital up 8.7%, traffic up 3.6%. EPS was \$4.11 against \$2.05 a year earlier; net earnings \$1.877bn against \$935m. A tariff refund contributed \$994m pretax, \$752m after tax — \$1.65 a share. Full-year guidance rose to about 5% sales growth and EPS of \$9.90-\$10.90, against the roughly \$8.52 analysts expected. CFO Jim Lee said Target has cut prices on more than 10,000 items in the past year and “there’s more to come.” Shares closed up 4.35%.

WHAT IT MEANS

Strip the refund and EPS is about \$2.46 — still up, still a real turnaround, but a fifth of the headline is a one-off. The number that matters is traffic up 3.6%: people are walking in again, which is the hard part. Price cuts on 10,000 items say margin will pay for it.

WATCH NEXT

Q3 in November, and whether the comp holds without the refund flattering the compare.

US federal debt crosses \$40 trillion

WHAT HAPPENED

Treasury's Debt to the Penny series put total public debt outstanding at [\\$40,047,425,768,420.22 as of 18 August](#) — the first time the number has started with a four. It crossed \$38tn on 21 October 2025, so the last two trillion took ten months. Roughly \$866bn of interest accrued on marketable securities in the first ten months of fiscal 2026, tracking above \$1.1tn gross for the year. Bipartisan Policy Center chief Margaret Spellings: [“Federal debt is already raising the cost of living and choking out other spending and investment.”](#)

WHAT IT MEANS

Round numbers change nothing mechanically, but they change what politicians can ignore. The story is the pace — two trillion in ten months, with interest now competing with the biggest line items in the budget. And it lands the week the Fed minutes show three officials wanting to make that borrowing dearer.

WATCH NEXT

The September refunding schedule and the long end of the curve. The 30-year is where this argument gets settled.

STARTUPS

Rillet raises \$100m at a \$1bn valuation in under two days

WHAT HAPPENED

AI accounting startup Rillet [announced a \\$100m Series C at a \\$1bn valuation](#), two years after leaving stealth. ICONIQ led; Andreessen Horowitz and Sequoia returned. The company claims more than 600 customers and doubled annual recurring revenue in the past three months, taking total funding past \$200m. Co-founder and CEO Nicolas Kopp says they were not planning to raise and closed the round in “less than 48 hours.” ICONIQ's Seth Pierpont, on the general ledger becoming finance's operating system: “That vision is now reality.”

WHAT IT MEANS

The general ledger is the least glamorous and most defensible thing in enterprise software — once your books live somewhere, you do not move them. A 48-hour round at a billion dollars for an accounting product is a fair proxy for how much dry powder is chasing AI-native systems of record rather than chat wrappers.

WATCH NEXT

Whether NetSuite or Intuit responds with pricing or acquisition. Rillet is now expensive enough to be a threat and cheap enough to buy.

Rivian spinout Also raises \$150m

WHAT HAPPENED

Also, the micromobility and autonomy company spun out of Rivian, [raised a \\$150m Series D led by Prysm Capital](#), with Eclipse, Greenoaks and MVP Ventures participating. That takes total funding to \$455m; the valuation was not disclosed. It sells a \$4,500 pedal-assist e-bike, the TM-B, with launch editions shipping since late July and standard versions due this autumn, and holds commercial agreements with Amazon for thousands of pedal-assist cargo vehicles and a multi-year autonomous delivery programme with DoorDash.

WHAT IT MEANS

The Amazon and DoorDash contracts are the thesis — this is a fleet business with a consumer product attached, not the reverse. Last-mile economics work far better on a \$4,500 vehicle than a \$40,000 one, and both partners have reason to fund an alternative to buying vans.

WATCH NEXT

Whether the autumn consumer launch ships on time, and any disclosed volume on the Amazon deal.

Venture firms are quietly re-underwriting their own portfolios

WHAT HAPPENED

Fortune [reports that VCs are running emergency portfolio reviews](#) as model capability outruns 2024-vintage theses. One investor put 10–20% of their portfolio as newly vulnerable beyond normal failure rates; another put roughly 10% as specifically imperilled by foundation-model shifts. Robert F. Smith is quoted saying a “small (but real) portion” of his software companies no longer have a right to exist. Monashees’ Eric Archer: AI “is changing the half-life of a thesis.” Kapital Ventures’ Kamran Ansari names the survivors — “regulated license businesses and businesses with proprietary data that’s difficult to access” — and tells struggling founders to return “like 60, 70 cents of your money on the dollar” rather than burn it. *The percentages are unnamed investors in one outlet — anecdote, not measurement.*

WHAT IT MEANS

Interesting mostly as a leading indicator of write-downs. Firms do not commission portfolio triage in public unless LP conversations have already started. Expect the marks to move in Q3 and Q4 statements, and expect more quiet shutdowns-with-capital-returned than obituaries.

WATCH NEXT

Q3 LP letters, and the volume of small acquihires in September.

Stars and Stripes publisher resigns over Pentagon pressure

WHAT HAPPENED

Max D. Lederer Jr., long-serving publisher of the military newspaper Stars and Stripes, [resigned on 20 August](#), writing that his “philosophy of leadership, and my understanding of the value and mission of Stars and Stripes, differ in fundamental ways from the direction the leadership of the Department of Defence has for the organization.” The Pentagon had already fired the paper’s ombudsman, Jacqueline Smith — a congressionally mandated post created to protect editorial independence — and in January announced plans to bring the paper into closer alignment with government priorities. Defense Secretary Pete Hegseth has accused it of promoting “woke distractions”; Pentagon spokesman Sean Parnell describes the changes as “returning Stars and Stripes to its original mission: reporting for our warfighters.” *Single-outlet as of this writing.*

WHAT IT MEANS

The paper has been editorially independent, by statute and custom, since 1861, and Congress has twice restored its funding over administration objections. Losing both the ombudsman and the publisher inside a year is the structural protection failing rather than a personnel dispute.

WATCH NEXT

Whether the Senate Armed Services Committee takes it up when Congress returns on 11 September, and who is named publisher.

Senate Republicans warn AI firms that data centres are becoming an election problem

WHAT HAPPENED

Axios [obtained an NRSC memo titled “Ohio Data Center Risk”](#) arguing that local backlash against data centres is endangering Senator Jon Husted’s re-election, with Democrat Sherrod Brown running on the issue. A Fox News poll cited in the memo has Brown leading by eight points. The memo calls it “a sleeper issue for the entire election cycle” and warns that “if he loses and data centers get the blame, politicians across the country will take notice.” It urges AI companies to do more to explain community benefits. Projects named include a recently announced Nvidia–OpenAI site plus Meta, Vantage and QTS facilities. *Axios exclusive, single-sourced to a memo the NRSC has not confirmed.*

WHAT IT MEANS

This is the first hard evidence that the compute build-out has a domestic political price, and it is being raised by the party that has been most permissive about it. Electricity bills and water draw are legible to voters in a way that model capability is not. If Ohio goes, siting gets harder everywhere.

WATCH NEXT

Ohio polling through September, and whether any hyperscaler announces ratepayer protections — that would be the memo working.

Trump declares an “Economic D-Day” against Iran — with nothing signed yet

WHAT HAPPENED

On the evening of 19 August, Trump announced on Truth Social “**the MOST CRUSHING ECONOMIC OPERATION EVER TAKEN AGAINST ANY COUNTRY**”, warning that “ANY country that allows its financial institutions, businesses, airports, or government entities to provide any type of lifeline to Iran will itself face TREMENDOUS Economic Consequences” — an “ECONOMIC D-DAY” aimed at “oil smuggling, swap lines, cash transfers, exchange houses, ship registries, front companies.” *No executive order, OFAC designation or named country has been published.* Iran’s foreign minister Abbas Araghchi called it a diversion from “domestic American issues.”

WHAT IT MEANS

Secondary sanctions of that breadth would hit allies harder than Iran — which is why they are announced on social media before they are drafted. The threat is already doing work: it follows the UAE’s trade halt and lands on capitals that still clear Iranian oil. Until an order exists, this is leverage, not policy.

WATCH NEXT

ofac.treasury.gov/recent-actions for an actual designation list, and how South Korea and Turkey respond.

Russia's largest barrage in weeks kills at least 15 in Kyiv

WHAT HAPPENED

Russia struck Kyiv shortly after midnight on 20 August with 168 drones, 36 cruise missiles, eight Kalibr and a mix of ballistic weapons. The upper floors of a nine-storey residential block were destroyed; a school and a children's hospital were hit. The air force reported downing 145 drones, 31 cruise missiles and all eight Kalibr by 09:30 local. [Mayor Vitali Klitschko put the toll at 15 dead in the city](#); the [Moscow Times reported 16 including the region](#), with 40-plus injured. *The toll rose all day; early reports of three dead are stale.* Russia's defence ministry said it hit "drone component facilities, a military depot and a logistics hub" — *its own account of its own operation, unverified and contradicted by the damage on the ground.* Zelenskyy: "The interceptors for Patriot systems have not yet been replaced."

WHAT IT MEANS

The Patriot line is the message. Ukraine downed roughly 86% of the drones and most cruise missiles — good, and irrelevant against ballistic weapons if interceptor stocks are not replenished. Kyiv is telling Washington the air-defence gap is now measured in weeks.

WATCH NEXT

A US interceptor package — and Zelenskyy at home, where protesters want "leadership renewal" and ousted defence minister Mykhailo Fedorov has demanded wartime elections. *Single-outlet.*

Bangladesh elects a president in its first contested vote in 35 years

WHAT HAPPENED

Bangladesh's 349 MPs voted between 08:00 and 11:00 GMT on 20 August, electing BNP veteran [Mirza Fakhrul Islam Alamgir, 78, as the country's 23rd president](#) — the first contested presidential election since October 1991. He beat Oli Ahmad, 85, a retired colonel nominated by the Jamaat-led alliance. The result was never in doubt: the BNP holds 247 of 349 seats to the opposition's 90. The office is largely ceremonial — the holder acts on the prime minister's advice except when appointing the PM and the chief justice. No tally has been published.

WHAT IT MEANS

A contested ritual beats an uncontested one, but the substance is thin — political scientist Ali Riaz calls it “more of a ritual than substantive in terms of governance.” The number that matters is the seat split: the first real test of what the BNP does with the supermajority it won after last year's uprising, and so far the answer is conventional.

WATCH NEXT

The tally, if one is released, and whether the new president uses the chief-justice appointment independently.

SOURCES

[Federal Reserve — Minutes of the July 28-29, 2026 FOMC meeting](#)

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[US Treasury — Debt to the Penny](#)

[SK hynix — Share buyback and retirement announcement](#)

[Axios — OpenAI previews zero-retention safety system](#)

[Axios — GOP memo on data centres and the midterms](#)

[TechCrunch — Cognition CEO denies SpaceX acquisition report](#)

[TechCrunch — Google launches study tools across Search and Gemini](#)

[TechCrunch — Rillet raises \\$100M Series C at \\$1B](#)

[TechCrunch — Rivian spinout Also raises \\$150M](#)

[Fortune — Portfolio review takes on new urgency for VCs](#)

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[Investing.com — SK Hynix shares rebound on buyback plan](#)